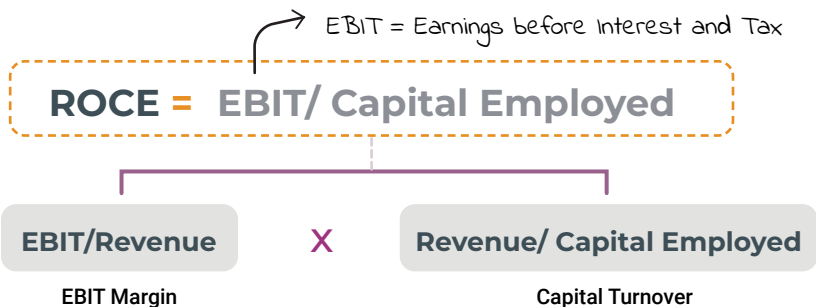




ROCE mainly comes from two sources – margins and turnover. ROCE is not affected by the financing decisions of the industry.

This is the primary reason why ROCE uses earnings before interest and tax (EBIT) and not net profit after tax because we want to calculate returns to debt holders as well.

ROCE is compared with the cost of capital.



A business that earns less than its cost of capital would destroy the value of its owners.



A business that earns more than the cost of capital would create value for all shareholders.